Freehills

Undertaking

Singapore Power International / Babcock & Brown acquisition of Alinta shares

Undertaking to the Australian Competition and Consumer Commission given under s87B of the Trade Practices Act 1974 by Babcock & Brown Infrastructure and Singapore Power International on 9 August 2007 and accepted by the Commission on 13 August 2007

Operative part

Definitions

The meanings of the terms used in this document are set out below.

Term	Meaning
2004 DBNGP Undertaking	the undertaking to the Commission given under section 87B of the Act by Alinta Limited (now Alinta 2000 Pty Ltd), Alinta Network Services Pty Ltd (now Alinta Asset Management Pty Ltd), Alcoa of Australia Limited, AMPCI Macquarie Infrastructure Management No 1 Limited in its capacity as the responsible entity of the Diversified Utility and Energy Trust No 1, AMPCI Macquarie Infrastructure Management No 2 Limited in its capacity as the responsible entity of the Diversified Utility and Energy Trust No 2, and DBNGP Holdings Pty Limited dated 22 October 2004.
2007 DBNGP Undertaking	the undertaking to the Commission given under section 87B of the Act by BBI and BBP dated on or about 9 August 2007 under which BBI conducts operation, construction and maintenance services with respect to the DBNGP.
Act	the *Trade Practices Act* 1974.
AGL	the former The Australian Gas Light Company (ABN 95 052 167 405).
Agility	means Agility Management Pty Limited (ACN 086 013 461) and, unless otherwise required by the context, a reference to Agility in this Undertaking is a reference to Agility and any of its subsidiaries.
Alinta Asset Management	means Alinta Asset Management Pty Limited (ABN 52 104 352 650) and, unless otherwise required by context, a reference to Alinta Asset Management in this Undertaking is a reference to Alinta Asset Management and any of its subsidiaries.
Agility-APT (MSP and Parmelia) Contracts	means the contracts between Agility and APT under which Agility provides asset management and network services in relation to the MSP and the Parmelia Pipeline.
Agility-APT (MSP and Parmelia) Contracts Assets	means the: a. assets;

	b. employees; and c. material contracts and contractors, which are required for, or who are directly involved in, the provision of services to APT by Agility under the Agility-APT (MSP and Parmelia) Contracts.
Alinta	Alinta Limited (ABN 11 119 985 590) and, unless otherwise required by the context, a reference to Alinta in this Undertaking is a reference to Alinta and any of its related bodies corporate (other than APL and APT (if applicable)).
Alinta Scheme Assets	the assets and liabilities of Alinta to be owned by Bidco, pursuant to Bidco's acquisition of the shares in Alinta Limited, excluding the APA Group Securities and APL Shares.
APA Group Securities	units in Australian Pipeline Trust (ARSN 091 678 778) stapled to units in APT Investment Trust (ARSN 115 585 441) held by Alinta immediately prior to the Scheme Implementation Date.
APL	Australian Pipeline Limited (ACN 091 344 704) and, unless otherwise required by the context, a reference to APL in this Undertaking is a reference to APL and any of its related bodies corporate or, if APL is no longer the responsible entity of APT (or a trust or other entity that owns any of the APT Identified Assets), the replacement or successor responsible entity of APT (or the replacement or successor responsible entities of trusts or entities that have a Material Interest in any of the APT Identified Assets).
APL Shares	the shares in APL held by Alinta on the Scheme Implementation Date.
Approved Agent	has the meaning given to it in clause 75.
Approved Purchaser	has the meaning given to it in clause 63.
APT	the Australian Pipeline Trust (ARSN 091 678 778) and, unless otherwise required by context, a reference to APT in this Undertaking is a reference to APT and any of its related bodies corporate.
APT Identified Assets	means: a. the Parmelia Pipeline; b. the MurrayLink interconnector; c. the DirectLink interconnector; and d. the MSP.
BB SPV	BB SPV Space Cat Holdings Pty Ltd (ACN 124 512 376) of Level 23, Chifley Tower, 2 Chifley Square, Sydney NSW 2000.

BB Purchaser	an entity nominated by BB SPV on or before the Scheme Implementation Date as a purchaser of an Alinta Scheme Asset.
BBI	Babcock & Brown Infrastructure, consisting of Babcock & Brown Infrastructure Limited (ACN 100 364 234) and BBIS in its capacity as trustee of the Babcock & Brown Infrastructure Trust (ARSN 100 376 479). Unless otherwise required by context, a reference to BBI in this Undertaking is a reference to BBI and any subsidiary.
BBIS	Babcock & Brown Investor Services Limited (ACN 099 717 638).
BBP	Babcock & Brown Power, consisting of Babcock & Brown Power Limited (ACN 116 665 608) and BBPS in its capacity as trustee of Babcock & Brown Power Trust (ARSN 122 375 562).
BBPS	Babcock & Brown Power Services Limited (ACN 118 165 156).
Bidco	ES & L Pty Ltd (ACN 124 513 971) of Level 23, Chifley Tower, 2 Chifley Square, Sydney NSW 2000.
Business Contact	any communication, whether in writing, electronic, oral or otherwise which concerns any business or professional matter relating to the Parmelia Pipeline, the MurrayLink interconnector or the DirectLink interconnector.
Business Day	a day other than a Saturday, Sunday or a public holiday in Singapore, New South Wales or Victoria.
Commission	the Australian Competition and Consumer Commission.
Commencement Date	the meaning given to it in clause 16.
DBNGP	the Dampier to Bunbury Natural Gas Pipeline in Western Australia.
DBNGP Operating Services Agreement	the operating services agreement under which DBNGP (WA) Transmission Pty Ltd contracts a party, currently Alinta Asset Management, to provide asset management and network services in relation to the operation, construction and maintenance of the DBNGP.
Divestment Assets	Means: a. the APA Group Securities held by Bidco and, if relevant, the APL Shares held by Bidco (whether directly or through another entity), including any rights or options to acquire APA Group Securities or APL shares; b. the MSP Contract; and

	c. the Parmelia Contract.
Divestment Date	the meaning given to it in Confidential Annexure 1.
EGP	means the Eastern Gas Pipeline.
Hold Separate Termination Date	the date on which the last of the Divestment Assets and/or the Unsold Divestment Assets, as the case may be, is divested or terminated in accordance with this Undertaking.
Independent Auditor	RSM Bird Cameron or a successor independent auditor who has been approved in writing by the Commission in accordance with clause 85, 87 or clause 88.
Independent Person	a person who is independent of SPI and BBI. Without limitation, a person who is not independent is a person who a. is a current employee or officer of SPI or BBI; b. has been an employee or officer of SPI or BBI in the past 5 years; c. has an agreement, arrangement or understanding with SPI or BBI relating to the performance of his or her functions as a director of APL; d. is a substantial shareholder of SPI or BBI or an officer of, or otherwise associated directly with, a substantial shareholder of SPI or BBI; e. has, within the last 5 years, been a principal of a material professional adviser or a material consultant to SPI or BBI or an employee materially associated with the provision of such services to SPI or BBI; f. is a material supplier or customer of SPI or BBI or an officer of or otherwise associated directly or indirectly with a material supplier or customer of SPI or BBI; g. has a material contractual relationship with SPI or BBI; h. has served on the board of SPI or BBI for a period which could, or could reasonably be perceived to, materially interfere with his or her ability to act independently of SPI or BBI; i. has a relationship which could, or could reasonably be perceived to, materially interfere with his or her ability to act independently of SPI or BBI; or j. is a family member of a person who is not an independent person (except by reason of this subclause).
Material Interest	means: a. in relation to an entity, any interest, direct or indirect, in excess of 5%; b. in relation to an asset: 1) any interest in the asset in excess of 5% of the value of the asset; or 2) an interest of more than 5% in any entity which has a

	substantial interest in the asset, or, c. in relation to an entity or an asset, any other interest, whether by agreement, understanding or arrangement or otherwise, that gives a degree of control over an asset or entity.
MSP	means the Moomba to Sydney Pipeline, including: a. all of the pipelines known as laterals which carry gas from: 1) Young to Wagga Wagga; 2) Burnt Creek to Griffith; 3) Dalton to Canberra, b. the interconnect from Wagga Wagga to Culcairn (including the bi-directional connection at Culcairn); and c. all assets, employees and equipment required to operate the MSP independently (including any assets, contracts and agreements associated with augmentations, expansions or connections to the MSP), but does not include the: a. Young to Lithgow Lateral; or b. Central West Pipeline.
MSP Contract	means the contract between Agility and APT under which Agility provides asset management and network services in relation to the MSP.
Officer	has the same meaning as in the Corporations Act 2001 (Cth).
Parmelia Contract	means the contract between Agility and APT under which Agility provides asset management and network services in relation to the Parmelia Pipeline.
Parmelia Pipeline	means the Parmelia pipeline in WA, including: a. all the pipelines known as laterals which carry gas from the Parmelia Pipeline namely: 1) the Midland; 2) Perth; 3) Kwinana; 4) and Rockingham Laterals, b. all assets, employees and equipment required to operate the Parmelia Pipeline independently (including any assets, contracts and agreements associated with augmentations, expansions or connections to the Parmelia Pipeline); c. the Mondarra Gas Storage Facility; and d. all assets, employees and equipment required to operate the Mondarra Gas Storage Facility fully independently of the DBNGP.

Proposed Alinta Acquisition	the acquisition by Bidco of the shares in Alinta as contemplated in the SIA.
Proposed Approved Purchaser	has the meaning given to it in clause 64.
Related body corporate and subsidiary	have the meanings given to them by the Corporations Act 2001.
Scheme of Arrangement	the scheme of arrangement between Alinta and its members under which all of the issued shares in Alinta will be acquired by Bidco.
Scheme Implementation Date	the date on which Bidco acquires all of the shares in Alinta.
SIA	the Scheme Implementation Agreement executed on 30 March 2007, as amended.
SPI	Singapore Power International Pte Ltd. Unless otherwise required by context, a reference to SPI in this Undertaking is a reference to SPI and any subsidiary.
SPI Purchaser	an entity nominated by SPI on or before the Scheme Implementation Date as a purchaser of an Alinta Scheme Asset.
Undertaking	the undertakings provided by BBI or SPI in this document.
Unsold Divestment Asset	has the meaning given to it in clause 47.

Background

Alinta/AGL merger

1 On 1 June 2006, Alinta and AGL executed a merger implementation agreement in relation to the merger of their infrastructure and energy businesses **(Alinta/AGL Merger)**.

2 Alinta sought informal clearance of the Alinta/AGL Merger by the Commission.

3 On 3 August 2006, the Commission accepted an undertaking offered by Alinta which required Alinta, amongst other things, to:

(a) divest all units Alinta holds in APT and all of the shares it holds in APL by an agreed date;

(b) divest the Agility-APT (MSP and Parmelia) Contracts by an agreed date; and

(c) hold separate and ring fence the assets to be divested.

4 On accepting the Alinta/AGL Merger Undertaking, the Commission provided informal clearance of the Alinta/AGL merger. The Alinta/AGL merger was completed on 25 October 2006.

5 On 22 November 2006, the Commission accepted an undertaking **(Alinta/APT Undertaking)** to replace the undertakings given by Alinta and accepted by the Commission on 3 August 2006.

6 The Alinta/APT Undertaking was intended to allow Alinta to increase its unit holding in APT.

Acquisition of all Alinta shares

7 On 30 March 2007, Alinta and Bidco, amongst others, executed the SIA in relation to the Proposed Alinta Acquisition.

8 By an agreement dated 23 March 2007, as amended, Bidco, SPI and BB SPV agreed a mechanism by which the Alinta Scheme Assets and, if relevant, the APA Group Securities and APL Shares, would be allocated between SPI and BB SPV. It is the intention of the parties that the Alinta Scheme Assets will be transferred to a SPI Purchaser or a BB Purchaser (or retained by Bidco, as applicable) shortly after the Scheme Implementation Date.

9 Under the SIA, Alinta has an obligation to use its best endeavours to distribute the APA Group Securities to members of Alinta as a constituent part of consideration paid to Alinta's members under the Scheme of Arrangement.

10 If Alinta does not distribute the APA Group Securities to members of Alinta as a constituent part of the Scheme of Arrangement, Bidco will hold the APA Group Securities and APL Shares and deal with those securities in accordance with the terms of this Undertaking. At this time, Bidco would be wholly owned by BBI.

11 BBI and SPI have sought informal clearance of the Proposed Alinta Acquisition by the Commission.

12 BBI and SPI offer this Undertaking to the Commission to replace the Alinta/APT Undertaking, without any admission that the Proposed Alinta Acquisition implemented by the Scheme of Arrangement would contravene section 50 (or any other provision) of the Act.

13 The Commission is prepared to accept this Undertaking as it provides a mechanism to address the Commission's competition concerns in the relevant

market or markets while facilitating the Proposed Alinta Acquisition. The Commission acknowledges that this Undertaking is intended to effectively replace the Alinta/APT Undertaking and fulfil a similar function. The Commission will take this into account in considering any request by Alinta for consent to withdraw the Alinta/APT Undertaking after the Scheme of Arrangement is implemented.

14 This undertaking seeks to address the Commission's competition concerns by:

(a) ensuring that BBI divests any APA Group Securities or any APL Shares that BBI may acquire by no later than the Divestment Date;

(b) ensuring the Parmelia Contract is divested or terminated by the Divestment Date;

(c) ensuring the MSP Contract is divested or terminated by the Divestment Date; and

(d) ensuring that ring fencing arrangements for the assets referred to in this clause are in place during any interim period between the Scheme Implementation Date and the Divestment Date.

15 If the parties have not divested the Parmelia Contract or the MSP Contract by the Divestment Date, then these assets will be handed over to an Independent Agent, to be divested or otherwise dealt with in accordance with this Undertaking.

Commencement and termination of Undertakings

Commencement of Undertakings

16 This Undertaking comes into effect when the following conditions are satisfied:

(a) this Undertaking is executed by BBI and SPI;

(b) the Commission accepts this Undertaking; and

(c) the Scheme of Arrangement is implemented.

(Commencement Date).

17 For the avoidance of doubt, each party to this Undertaking is only responsible for the obligations given by it, and, notwithstanding that the undertakings are contained in a single document, it constitutes separate undertakings given by SPI and BBI and:

(a) SPI may seek to withdraw or vary its undertakings without the consent of BBI; and

(b) BBI may seek to withdraw or vary its undertakings without the consent of SPI.

Termination Date

18 Unless otherwise expressed, the obligations in this Undertaking will cease on the Hold Separate Termination Date.

Part A - Divestiture of APL Shares

19 Part A of this Undertaking will apply only in the event that:

(a) Alinta distributes the APA Group Securities to Alinta shareholders as a constituent part of the Scheme of Arrangement; and

(b) BBI holds the APL Shares and these shares do not constitute a Material Interest in APL.

Divestiture

20 BBI will divest the APL Shares by the Divestment Date.

21 If BBI retains a direct or indirect interest in the APL Shares on the Divestment Date, BBI must sell or divest all the APL Shares within 10 Business Days of the Divestment Date.

Part B – Divestiture of APA Group Securities

22 Part B of this Undertaking will apply only in the event that:

(a) Alinta does not distribute all the APA Group Securities to Alinta shareholders as a constituent part of the Scheme of Arrangement; and / or

(b) BBI holds the APL Shares and these shares constitute a Material Interest in APL.

23 Part B of this Undertaking shall not apply to any APA Group Securities acquired by BBI in its capacity as an Alinta shareholder under the Scheme of Arrangement.

Obligations which operate while BBI holds an interest in APT

Divestiture

24 BBI will divest the APA Group Securities and the APL Shares by the Divestment Date.

25 If BBI retains a direct or indirect interest in APA Group Securities or the APL Shares on the Divestment Date (subject to clause 23), BBI must sell all its APA Group Securities on the market, and sell or divest all the APL Shares, within 10 Business Days of the Divestment Date.

26 BBI will not hold or acquire a Material Interest (unless otherwise permitted by the Commission) in APT for a period of 6 years after the Hold Separate Termination Date.

Ring Fencing obligations concerning APT

27 BBI will not as a unit holder in APT, a shareholder in APL, or in any other capacity, or through any other person

(a) nominate or vote in favour of any person to fill a vacancy on the board of APL;

(b) vote in any meeting of unit holders called for the purpose of approving the nomination of a person to be appointed to the board of APL;

(c) vote in any postal ballot undertaken for the purpose of approving the nomination of a person to be appointed to the board of APL;

(d) vote in any meeting for the purpose of appointing or removing any director of APL; or

(e) instruct anyone else to appoint, nominate or vote in any meeting of members of the board of APL for the purpose of appointing or removing any director of APL.

28 Notwithstanding clause 27, BBI will use its best endeavours (including proposing and voting on motions as unit holder and shareholder) to procure that no person is appointed to the board of APL or continues to act as a director of APL unless they are an Independent Person.

29 BBI will not, without the formal written approval of the Commission:

(a) propose;

(b) vote on; or

(c) act in any way to influence a resolution to, remove, change the structure of, or replace the responsible entity of APT, or otherwise seek to make changes to the corporate structure of APL or APT.

30 Regardless of any other provision of this Undertaking, conduct formally approved by the Commission in writing pursuant to clause 29 will not constitute a breach of this Undertaking.

Additional ring fencing

31 Subject to clauses 30 and 32:

(a) BBI will not:

(1) interfere in the management or operation of APT;

(2) do anything to prevent APT or APL from continuing to operate independently of BBI;

(3) do anything to prevent APT or APL from continuing to market, price and sell gas transportation or other services and to maintain its contracts and agreements for doing so; or

(4) seek any confidential information from APT,

and

(b) BBI will ensure that employees, officers, advisers and contractors of BBI will not have any Business Contact with any person employed or retained by APT or APL.

32 Clause 31 does not prevent the conduct set out in Annexure 2.

33 If, notwithstanding the restrictions set out in this undertaking, BBI as a unit holder in APT or a shareholder in APL holds or obtains any confidential information that relates to the Parmelia Pipeline, BBI will ensure this confidential information is not disclosed to any persons who perform functions relating to the management or operation of the DBNGP, without prior written approval by the Commission.

34 BBI will inform the Commission within 5 Business Days of this Undertaking taking effect of any persons within BBI or its advisers who hold or have obtained any information referred to in clause 33 and the manner in, and terms on, which those persons have been prohibited from communicating that information to persons who perform functions relating to the management or operation of the DBNGP.

35 If BBI becomes aware of a breach of clause 33, it must immediately advise the Commission and the Independent Auditor of:

(c) the identity of all persons involved in the breach;

(d) full particulars of the breach, including the role of the persons involved and the nature of the information or documents disclosed; and

(e) an explanation of how the breach occurred.

36 BBI will ensure that any confidential information it obtains as a unit holder in APT or a shareholder in APL that relates to the MSP is not disclosed to SPI, without prior written approval by the Commission.

37 BBI will ensure that any confidential information it obtains as a unit holder in APT or a shareholder in APL that relates to either the MurrayLink interconnector or the DirectLink interconnector is not disclosed to BBP, without prior written approval by the Commission.

Part C – Obligations which operate after the Hold Separate Termination Date and divestiture of pipeline asset management contracts

Restrictions on BBI appointments and employment

38 BBI will not:

(a) from the Commencement Date, and for a period of 3 years after the Hold Separate Termination Date, appoint as director of the board of BBI any officer or other employee of APL or APT;

(b) from the Commencement Date, and for a period of 3 years after the Hold Separate Termination Date, employ in any role relating to the operation or management of the DBNGP a person who was, within the last three years, a senior executive of APL or APT and had any involvement in the marketing or commercial operations of the Parmelia Pipeline;

(c) from the Commencement Date, and for a period of 1 year after the Hold Separate Termination Date, employ in any role relating to the operation or management of the DBNGP a person who has been, within the last year, an employee of APL or APT and had any involvement in the marketing or commercial operations of the Parmelia Pipeline, unless otherwise permitted by the Commission;

(d) for a period of 5 years after the Commencement Date employ in any role relating to the operation or management of the DBNGP, or have an agreement, understanding or arrangement (including an agreement, understanding or arrangement that comes into effect in the future) in relation to the provision of services for the operation, construction, maintenance or management of the DBNGP with, a person who was, within the last 5 years, a director of APL;

(e) from the Commencement Date, and for a period of 2 years after the Hold Separate Termination Date, seek or receive any advisory services for the operation, construction, maintenance or management of the DBNGP from a person who was a director of APL at any time between the Commencement Date and the Hold Separate Termination Date; or

(f) from the Commencement Date and for a period of 1 year after the Hold Separate Termination Date, seek or receive any advisory services for the operation or management of the DBNGP from a person who was employed by APL or APT and had any involvement in the marketing or commercial operations of the Parmelia Pipeline unless otherwise permitted by the Commission.

No Common Management of Pipelines

39 BBI will, for a period of 5 years from the Hold Separate Termination Date, not supply or offer to supply pipeline management or maintenance services (of any kind) to the Parmelia Pipeline while BBI supplies management or maintenance services (of any kind) to the DBNGP or has any Material Interest in the DBNGP.

Restrictions on SPI appointments and employment

40 SPI will not:

(a) from the Commencement Date, and for a period of 3 years after the Hold Separate Termination Date, appoint as director of the Board of SPI any officer or other employee of APL or APT;

(b) from the Commencement Date, and for a period of 3 years after the Hold Separate Termination Date, employ in any role relating to the operation or management of the EGP a person who was, within the last three years, a senior executive of APL or APT and had any involvement in the marketing or commercial operations of the MSP;

(c) from the Commencement Date, and for a period of 1 year after the Hold Separate Termination Date, employ in any role relating to the operation or management of the EGP a person who has been, within the last year, an employee of APL or APT and had any involvement in the marketing or commercial operations of the MSP, unless otherwise permitted by the Commission;

(d) for a period of 5 years after the Commencement Date employ in any role relating to the operation or management of the EGP, or have an agreement, understanding or arrangement (including an agreement, understanding or arrangement that comes into effect in the future) in relation to the provision of services for the operation or management of the EGP with, a person who was, within the last 5 years, a director of APL;

(e) from the Commencement Date, and for a period of 2 years after the Hold Separate Termination Date, seek or receive any advisory services for the operation or management of the EGP from a person who was a director of APL at any time between the Commencement Date and the Hold Separate Termination Date; or

(f) from the Commencement Date and for a period of 1 year after the Hold Separate Termination Date, seek or receive any advisory services for the operation or management of the EGP from a person who was employed by APL or APT and had any involvement in the marketing or commercial operations of the MSP unless otherwise permitted by the Commission.

No Common Management of Pipelines

41 SPI will, for a period of 5 years from the Hold Separate Termination Date, not supply or offer to supply pipeline management or maintenance services (of any kind) to the MSP while SPI supplies management or maintenance services (of any kind) to the EGP or has any material interest in the EGP.

Ring fencing of MSP and Parmelia

42 The entity that controls the Agility-APT (MSP and Parmelia) Contracts after the Scheme Implementation Date, (being either BBI and/or SPI, as the case may be) will ensure that the ring fencing arrangements presently applied in relation to the Agility-APT (MSP and Parmelia) Contracts, details of which are set out in Annexure 3, continue to be applied until the obligations set out in clauses 43 to 47 below are satisfied.

Divestiture of the MSP Contract

43 The entity which controls the MSP Contract (being either BBI or SPI, as the case may be) undertakes to:

(a) divest to an Approved Purchaser; or

(b) legally terminate;

the MSP Contract, by the Divestment Date.

44 If:

(a) a consent or approval is required for the divestiture by SPI or BBI (as the case may be) of the MSP Contract to a person identified by SPI or BBI (as the case may be);

(b) SPI or BBI (as the case may be) has used all reasonable endeavours to procure that consent or approval; and

(c) that consent or approval has not been given to SPI or BBI (as the case may be) within 20 Business Days of seeking it,

SPI or BBI (as the case may be) may, upon obtaining consent in writing of the Commission to do so, enter into an arrangement to subcontract the MSP Contract in the same terms as the MSP Contract to the person (or otherwise enter into an arrangement with the person to provide all the services under the MSP Contract), provided the person would otherwise have been an Approved Purchaser of the MSP Contract, and having done so, SPI or BBI (as the case may be) will be regarded as having divested the MSP Contract pursuant to clause 43 above.

Divestiture of the Parmelia Contract

45 The entity which controls the Parmelia Contract (being either BBI or SPI, as the case may be) undertakes to:

(a) divest to an Approved Purchaser; or

(b) legally terminate;

the Parmelia Contract by the Divestment Date.

46 If:

(a) a consent or approval is required for the divestiture by SPI or BBI (as the case may be) of the Parmelia Contract to a person identified by SPI or BBI (as the case may be);

(b) SPI or BBI (as the case may be) has used all reasonable endeavours to procure that consent or approval; and

(c) that consent or approval has not been given to SPI or BBI (as the case may be) within 20 Business Days of seeking it,

SPI or BBI (as the case may be) may, upon obtaining consent in writing of the Commission to do so, enter into an arrangement to subcontract the Parmelia Contract in the same terms as the Parmelia Contract to the person (or otherwise enter into an arrangement with the person to provide all the services under the Parmelia Contract, provided the person would otherwise have been an Approved Purchaser of the Parmelia Contract, and having done so, SPI or BBI (as the case may be) will be regarded as having divested the Parmelia Contract pursuant to clause 45 above.

Unsold assets

47 If the MSP Contract or the Parmelia Contract has not been divested by SPI or BBI by the Divestment Date pursuant to clauses 43 and 45 above, it becomes an unsold divestment asset (**Unsold Divestment Asset**) and the provisions (clauses 71 to 82) relating to Sale by Approved Agent apply.

DBNGP Operating Services Agreement

48 SPI and BBI will each take all steps necessary to ensure that the management and performance of the DBNGP Operating Services Agreement is:

(a) subject to sub-clause 48(b)(ii) below, at all times prior to the Divestment Date, controlled or managed by an entity subject to the 2004 DBNGP Undertaking or the 2007 DBNGP Undertaking; and

(b) by the Divestment Date, controlled or managed by:

(i) BBI (including through its ownership of AAM or a BBI subsidiary); or

(ii) a person approved in writing by the Commission.

Shipper Protection

49 The obligations in clauses 50 to 60 continue to operate for a period of 6 years after the Hold Separate Termination Date.

50 If the Commission makes a decision that it is satisfied that there was, at any time between the Commencement Date and the Hold Separate Termination Date, a breach by either BBI or SPI (referred to as the **relevant party** in clauses 50 to 60) of this Undertaking which caused loss or damage to a shipper on the DBNGP, Parmelia Pipeline, EGP, MSP or any other relevant asset owned by APT the Commission will notify the relevant party of that decision and the relevant party will not challenge that decision.

51 Upon notification of a decision by the Commission pursuant to clause 50, the relevant party will indemnify each shipper identified in the Commission's decision for any loss or damage to the shipper arising from that breach by the relevant party of this Undertaking and the relevant party will give notice of the indemnity to shippers as relevant.

52 Upon receipt of a claim by a shipper in whose favour an indemnity has been given, the relevant party will compensate the shipper for any such loss or damage, in the amount:

(a) agreed between the relevant party and the shipper; or

(b) determined by the Independent Arbitrator.

53 The provision by the relevant party of the indemnity pursuant to this Undertaking does not derogate from any legal rights which a shipper might otherwise have against the relevant party or any other person.

54 The relevant party will comply with the Independent Arbitrator provisions set out in clauses 55 to 60 below.

Independent Arbitrator

55 In the event that the Commission makes a decision under clause 50, the relevant party will within 10 Business Days nominate for approval by the Commission a person to undertake the role of independent arbitrator (**Independent Arbitrator**) to determine shipper compensation under clause 52.

56 The relevant party will promptly provide such information as is requested by the Commission to enable the Commission to make a decision in relation to the approval of the Independent Arbitrator.

57 The Commission will approve the appointment of a person nominated by the relevant party to undertake the role of Independent Arbitrator where that person, in the Commission's opinion, is:

(a) an Independent Person;

(b) suitably qualified and experienced in arbitrating legal disputes; and

(c) independent of the purchaser of any asset divested pursuant to this Undertaking.

58 If the Commission does not approve the person nominated by the relevant party to be the Independent Arbitrator, the relevant party will appoint a person identified by the Commission in its absolute discretion as the Independent Arbitrator.

59 The relevant party will meet all the costs and expenses incurred by the Independent Arbitrator in carrying out his or her functions, including costs the

Independent Arbitrator may incur in obtaining assistance (professional or otherwise) to carry out his or her function. However, the indemnity given under clause 51 may provide that where the Independent Arbitrator determines that a shipper is not entitled to any compensation more favourable to the shipper than that offered to the shipper by the relevant party prior to that determination being made, the relevant party may reduce any amount payable pursuant to the indemnity by the costs and expenses of the Independent Arbitrator incurred in making that determination in respect of the matter up to a maximum of $3000.

60 The relevant party will, if required to do so by the Independent Arbitrator, indemnify the Independent Arbitrator in terms sought by the Independent Arbitrator.

Divestment of assets / contracts

Approved Purchaser

61 Subject to clause 70, BBI or SPI, as the case may be, will not sell, transfer, novate, assign or otherwise dispose of the Divestment Assets to any person who is not an Approved Purchaser.

62 The Approved Purchaser process described below will not apply in relation to the MSP Contract or the Parmelia Contract if these contracts are legally terminated by the Divestment Date.

63 An approved purchaser (**Approved Purchaser**) is a prospective purchaser of the Divestment Assets that:

(a) is an Independent Person, or is a corporation independent of and has no direct or controlling interest in BBI or SPI, as the case may be;

(b) in the case of the MSP Contract and/or the Parmelia Contract, is of good financial standing and is capable of providing services pursuant to the relevant Divestment Asset effectively; and

(c) has not been objected to by the Commission within the objection period specified in clause 66.

64 Within 5 Business Days of BBI or SPI reaching a conditional sale agreement with a prospective purchaser for the Divestment Assets (**Proposed Approved Purchaser**), BBI or SPI, as the case may be, will provide the Commission with the following information and such other information that the Commission requires to assess whether the purchase of the Divestment Assets by the Proposed Approved Purchaser satisfies the criteria in clause 63:

(a) the name, address and all available contact details of the Proposed Approved Purchaser;

(b) a copy of a signed conditional sale agreement with the Proposed Approved Purchaser;

(c) a description of the business carried on in Australia by the Proposed Approved Purchaser; and

(d) the names of the ultimate holding company and directors of the Proposed Approved Purchaser.

65 BBI or SPI will notify the Commission of an intended Proposed Approved Purchaser without delay.

66 If, within 20 Business Days of receipt of the information from BBI or SPI referred to in clause 64 (or such further period as BBI or SPI and the Commission may agree), the Commission does not object to the Proposed Approved Purchaser, the Proposed Approved Purchaser becomes an Approved Purchaser for the purposes of this Undertaking.

67 The Commission may object to the Proposed Approved Purchaser on the basis the Commission has formed the view, in its absolute discretion, that a sale to the Proposed Approved Purchaser is likely to result in a substantial lessening of competition in a market and BBI or SPI, as the case may be, will not contest the Commission's view.

68 In the event that the Commission objects to a Proposed Approved Purchaser it will, on a confidential basis, provide BBI or SPI, as the case may be, with a written statement of its reasons including the material facts it relies on for its view.

69 In the event that the Commission objects to a Proposed Approved Purchaser, BBI or SPI, as the case may be, may identify to the Commission an alternative Proposed Approved Purchaser in accordance with clauses 63 and 64 for consideration by the Commission in accordance with clauses 66 and 67.

70 BBI may sell APA Group Securities without having to comply with clauses 60 to 69 (**Approved Purchaser obligations**) if:

(a) BBI sells APA Group Securities on the ASX or pursuant to a book-build or other public offering; and

(b) the terms of, and the context of, the sale pursuant to clause 70(a) above explicitly prevent any acquirer of APA Group Securities pursuant to that sale acquiring, or then holding a Material Interest in, APT unless otherwise approved by the Commission in writing.

Sale by Approved Agent

71 SPI or BBI, (depending on which is the owner or controller of the Unsold Divestment Asset) (referred to as the **Vendor** in clauses 72 to 82 below), must, within 10 Business Days of an asset becoming an Unsold Divestment Asset, identify a person as a prospective sales agent for that Unsold Divestment Asset (**Proposed Agent**).

72 The Proposed Agent must be a person who is independent of the Vendor and has the qualifications and experience necessary to effect the sale of the Unsold Divestment Asset.

73 The Vendor will advise the Commission in writing, within 5 Business Days of the Vendor selecting a Proposed Agent, of the identity of the Proposed Agent, the proposed terms of appointment, together with such information that the Commission requires to assess whether the Proposed Agent satisfies the criteria set out in clause 72.

74 If, within 5 Business Days of receipt of the information from the Vendor referred to in clause 73 (or such further period as the Commission and the Vendor may agree):

(a) the Commission does not object to the Proposed Agent, or the terms of appointment, the Vendor will appoint the Proposed Agent as soon as practicable thereafter and forward to the Commission a copy of the executed terms of appointment of the Proposed Agent; or

(b) the Commission does object to the Proposed Agent, or the terms of appointment, the Vendor will appoint a person nominated by the Commission as the Proposed Agent on terms specified by the Commission and the Vendor will appoint the nominee to carry out the functions contemplated pursuant to clauses 75 to 78.

75 Within 5 Business Days of the appointment of the Proposed Agent referred to in clause 71 (**Approved Agent**), the Vendor must procure and/or grant the Approved Agent all necessary power and authority to divest, sell, transfer or sub-contract the Unsold Divestment Assets in the manner and on the terms (including as to price) considered appropriate by the Approved Agent, in its sole discretion, to ensure, or to ensure so far as practicable, compliance with this Undertaking.

76 The terms of the Approved Agent's appointment must require the Approved Agent to have completed the sale of the Unsold Divestment Assets within 60 Business Days of appointment.

77 The obligation to divest, sell, transfer or sub-contract referred to in clause 75 (and the terms of the Approved Agent's appointment in clause 74 and 76) may be subject to a condition that if more than one Approved Purchaser makes an offer for the Unsold Divestment Asset, the Approved Agent must accept the

offer or offers that would maximise the total price paid for the Unsold Divestment Asset.

78 Within 5 Business Days after the appointment of the Approved Agent, the Vendor will procure, execute and provide an unconditional (except as permitted under sub-clause 78(b)) and irrevocable power of attorney in favour of the Approved Agent that:

(a) grants the Approved Agent all rights and powers necessary to permit the Approved Agent to effect the divestiture of the Unsold Divestment Asset, subject only to the condition that the Unsold Divestment Asset may not be divested to any person who is not an Approved Purchaser; and

(b) unconditionally (save for fraud) indemnifies the Approved Agent against loss and damage incurred by the Approved Agent, arising directly or indirectly from the Approved Agent exercising or attempting to exercise the powers and rights conferred upon it under the power of attorney.

79 The Vendor will provide the Approved Agent with:

(a) all relevant information available to the Vendor; and

(b) all reasonable assistance,

to enable the Approved Agent to divest, sell and transfer the Unsold Divestment Asset as quickly as possible.

80 If:

(a) a consent or approval is required for the divestiture by the Approved Agent of a Unsold Divestment Asset to a person;

(b) the Approved Agent or the Vendor has used all reasonable endeavours to procure that consent or approval; and

(c) that consent or approval has not been given to the Approved Agent or the Vendor within 20 Business Days of seeking it,

the Approved Agent may, upon obtaining consent in writing of the Commission to do so, make arrangements to subcontract the Unsold Divestment Asset on the same terms as the Unsold Divestment Asset to a person (or otherwise enter into an arrangement with the person to provide all the services under the Unsold Divestment Asset), provided that person would otherwise have been an Approved Purchaser of the Unsold Divestment Asset, and having done so, the obligations relating to Sale by Approved Agent will have been satisfied.

81 The Vendor will promptly pay the costs of the Approved Agent in the performance of his or her functions.

82 The Vendor has the right to defend any legal claims, investigations or enforcement actions threatened or brought in respect of any Unsold Divestment Asset and to access such books, records, information and staff assistance as is reasonably necessary for this purpose.

Independent Audit

83 BBI and SPI will jointly maintain the appointment of an Independent Auditor until the termination of each of the obligations in this Undertaking.

84 BBI and SPI will use best endeavours to maintain the appointment of RSM Bird Cameron as Independent Auditor.

85 If the appointment of RSM Bird Cameron as the Independent Auditor is maintained, BBI and SPI will, within 5 Business Days of the Commencement Date, procure that RSM Bird Cameron prepares the audit reports referred to in clause 89.

86 If the appointment of RSM Bird Cameron as the Independent Auditor cannot be maintained, BBI and SPI must, within 10 Business Days of the Commencement Date, notify the Commission, in writing, of the name and contact details of another proposed Independent Auditor, including evidence that the Proposed Independent Auditor is an Independent Person with the relevant expertise to perform the role of Independent Auditor, and provide the proposed terms of engagement (**Proposed Independent Auditor**).

87 If within 15 Business Days of receipt by the Commission of the information referred to in clause 86, the Commission does not object to the Proposed Independent Auditor, or the proposed terms of engagement, BBI and SPI will jointly appoint the Proposed Independent Auditor within 5 Business Days.

88 If within 15 Business Days of receipt by the Commission of the information referred to in clause 86, or such further period as is required by the Commission and notified to BBI and SPI in writing prior to the expiration of the 15 Business Day period, the Commission objects to the Proposed Independent Auditor, BBI and SPI must, within 5 Business Days of the Commission nominating an alternative Independent Auditor, appoint the alternative Independent Auditor nominated by the Commission on terms acceptable to the Commission.

89 The terms of engagement agreed to by BBI and SPI under clauses 83, 87 and 88 must require the Independent Auditor to:

(a) prepare and supply an audit report to the General Manager of the Mergers and Asset Sales Branch of the Commission:

i. every 3 months from the Commencement Date to the Hold Separate Termination Date; and

ii. thereafter, within 30 Business Days after each anniversary of the Hold Separate Termination Date.

(b) report, pursuant to clause 89(a), on (without limitation):

i. BBI's and SPI's compliance with this Undertaking;

ii. full reasons for the conclusions reached in the audit, including references to the supporting evidence;

iii. any qualifications made by the Independent Auditor in forming its views; and

iv. any recommendations by the Independent Auditor to improve the integrity of the audit process and the elimination of any qualifications, including, without limitation, any reasonable recommendations to improve BBI's or SPI's processes or reporting systems.

(c) notify the Commission of any likely failure by BBI or SPI to comply with the obligations in this undertaking within 5 Business Days of the Independent Auditor forming the view that a likely failure to comply has occurred or will occur.

90 Unless otherwise agreed to by the Commission, BBI and SPI will not appoint the Independent Auditor, or have any agreements, understandings or arrangements with the Independent Auditor, to utilise the Independent Auditor's services for anything other than compliance with this Undertaking as required by this Undertaking.

91 BBI and SPI will cancel the appointment of the Independent Auditor if the Commission, in its discretion, informs BBI and SPI of its view that the Independent Auditor is no longer an Independent Person or does not have relevant experience and skills to act as the Independent Auditor or if the Commission advises BBI and SPI in writing that it has formed the view that the Independent Auditor is not properly performing his or her functions.

92 In the event that the appointment of the Independent Auditor is cancelled pursuant to clause 91, BBI and SPI must, within 5 Business Days of the Commission nominating an alternative Independent Auditor, appoint an Independent Auditor nominated by the Commission on terms acceptable to the Commission.

93 If an Independent Auditor resigns or otherwise terminates its appointment, BBI and SPI must submit the name and contact details and all other information required by clause 86 in relation to its choice of a successor Independent Auditor to the Commission for approval within 20 Business Days of the resignation or termination. Clauses 87 and 88 then apply as if the successor Independent Auditor were the Proposed Independent Auditor.

94 In the event that the Commission does not approve the Proposed Independent Auditor referred to in clause 93, or the terms of engagement, BBI and SPI must within 5 Business Days of the Commission nominating an alternative Independent Auditor, appoint an Independent Auditor nominated by the Commission on terms acceptable to the Commission.

95 BBI and SPI will ensure the Independent Auditor complies with any reasonable request made by the Commission to the Independent Auditor in relation to the audit referred to in clause 89. The nature and content of any request made by the Commission to the Independent Auditor will also be communicated to both BBI and SPI.

96 BBI and SPI acknowledge that the Commission and Independent Auditor may communicate directly in relation to the audit referred to in clause 89.

97 BBI and SPI will implement any recommendations of the Independent Auditor made pursuant to clause 89(b)(iv) within 5 Business Days after receiving the Independent Auditor's audit report.

98 If BBI or SPI reasonably believes that the implementation required by clause 97 is likely to take more than 5 Business Days, it must notify the Commission as soon as practicable in writing, stating:

(a) the reasons why it believes the implementation will take more than 5 Business Days, including supporting evidence;

(b) the steps it is taking to implement the recommendations; and

(c) an estimate of the date by which the recommendations will be fully implemented.

99 BBI and SPI will furnish the Commission with a report detailing the progress of implementing the Independent Auditor's recommendations every 5 Business Days until they are fully implemented.

100 BBI and SPI will cooperate fully with the Independent Auditor and shall ensure that the audits are able to be conducted by the Independent Auditor on the basis of any relevant information in BBI's or SPI's control. To the fullest extent possible, BBI and SPI will ensure the Independent Auditor is given access to all relevant information, including, without limitation:

(a) access to officers, employees, representatives and agents of BBI or SPI for any relevant purpose, including to find out how this Undertaking is to be implemented and understood, and BBI or SPI will direct those officers, employees or representatives to answer the Independent Auditor's questions honestly and comprehensively;

(b) access to (to the extent it is within BBI's or SPI's control) information about customers, and the customers themselves, in order to obtain information about customers' experience of BBI or SPI and its services and compliance with this Undertaking; and

(c) access to all the records of BBI or SPI, in whatever form, relevant to the Independent Auditor's inquiries whether specifically requested or not.

101 BBI and SPI will authorise the Independent Auditor to engage any technical expertise or other assistance as the Independent Auditor reasonably requires to conduct the audits and BBI and SPI will meet any and all costs of the Independent Auditor.

102 Whatever the processes used to appoint an Independent Auditor, the fees and expenses incurred by the Independent Auditor in carrying out his or her functions under this Undertaking will be payable by BBI and SPI.

103 BBI and SPI give the Commission permission to use all information which is:

(a) in the Commission's possession; or

(b) requested by the Commission from BBI or SPI,

and which is not confidential or otherwise commercially sensitive to BBI or SPI to inform the public (including shippers) of BBI's and SPI's obligations and the role of the Independent Auditor under this Undertaking.

104 BBI and SPI will, within 15 business days of the commencement of this Undertaking, provide a report to the Commission detailing the efforts that BBI and SPI have made toward compliance with this Undertaking.

General

Obligations to procure

105 Where the performance of an obligation under this Undertaking is imposed on BBI, if complete performance of the relevant obligation requires a subsidiary of BBI to take some action or refrain from taking some action, BBI will procure that subsidiary to take that action or refrain from taking that action and, if necessary, will procure the offering of undertakings on identical terms to this Undertaking by the subsidiary to the Commission.

106 Where the performance of an obligation under this Undertaking is imposed on SPI, if complete performance of the relevant obligation requires a subsidiary of SPI to take some action or refrain from taking some action, SPI will procure that subsidiary to take that action or refrain from taking that action and, if necessary, will procure the offering of undertakings on identical terms to this Undertaking by the subsidiary to the Commission.

Interpretation

107 In the interpretation of a clause of this Undertaking, a construction that would promote the purpose or object underlying this Undertaking (whether that purpose or object is expressly stated in this Undertaking or not) shall be preferred to a construction that would not promote that purpose or object.

108 In the interpretation of this Undertaking, material not forming part of this Undertaking may be considered to:

(a) confirm the meaning of a clause is the ordinary meaning conveyed by the text of the clause taking into account its context in this Undertaking and the competition concerns intended to be addressed by this Undertaking and the clause in question; or

(b) determine the meaning of the clause when the ordinary meaning conveyed by the text of the clause taking into account its context in this Undertaking and the purpose or object underlying this Undertaking leads to a result that does not promote the purpose or object underlying this Undertaking.

109 In determining whether consideration should be given to any material in accordance with clause 108, or in considering any weight to be given to any such material, regard shall be had, in addition to any other relevant matters, to the:

(a) effect that reliance on the ordinary meaning conveyed by the text of the clause would have (taking into account its context in this Undertaking and whether that meaning promotes the purpose or object of this Undertaking); and

(b) need to ensure that the result of this Undertaking is to address the Commission's competition concerns.

110 In performing its obligations under this Undertaking, each of BBI and SPI will do everything reasonably within its power to ensure that its performance of those obligations is done in a manner which is consistent with promoting the purpose and object of this Undertaking.

Further information

111 If requested in writing by the Commission, BBI or SPI will provide the Commission with copies of any executed agreement in connection with the sale

of Divestment Assets and/or Unsold Divestment Assets, as the case may be, within 5 Business Days.

112 At the Commission's direction, BBI or SPI will itself and BBI or SPI will procure that any BBI or SPI director, employee, agent or contractor identified by the Commission will:

(a) furnish information to the Commission;

(b) produce documents to the Commission in relation to which BBI or SPI has custody, control or power; and/or

(c) attend the Commission at a time and place appointed by the Commission to answer any questions the Commission (its Commissioner, its staff or its agents) may have,

in relation to BBI's or SPI's compliance with this Undertaking.

113 BBI and SPI will comply with such direction by the Commission within 5 Business Days or such other period of time as may be agreed by the Commission.

114 Information furnished, documents produced or information given in answer to questions may be used by the Commission for any purpose consistent with its statutory functions.

115 Any direction made by the Commission under clause 112 will be notified to the company secretary of BBI or SPI, as the case may be.

Confidentiality

116 Confidential Annexure 1 will remain confidential until the Hold Separate Termination Date.

117 BBI and SPI acknowledge that the Commission will make this Undertaking available for public inspection, save for those parts of this Undertaking which are to remain confidential, as provided for in this Undertaking or as otherwise agreed between BBI, SPI and the Commission.

Authorisation

118 The Commission may authorise the Mergers Review Committee, a member of the Commission or a member of the Commission staff, to exercise a decision making function under this Undertaking on its behalf and that authorisation may be subject to any conditions which the Commission may impose.

Service of notices

119 Any notice or other communication to the Commission pursuant to this Undertaking must be sent to:

General Manager, Mergers & Asset Sales
Australian Competition & Consumer Commission
470 Northbourne Avenue
Dickson ACT 2602

or in whatever manner the Commission subsequently notifies BBI .

120 Any notice or other communication from the Commission to SPI pursuant to this Undertaking must be sent to:

The Company Secretary
Singapore Power International Pte Ltd
111 Sommerset Road #04-01
Singapore Power Building
Singapore 238164

121 Any notice or other communication from the Commission to BBI pursuant to this Undertaking must be sent to:

The Company Secretary
Babcock & Brown Infrastructure
Level 23 The Chifley Tower
2 Chifley Square
Sydney NSW 2000

Limitation of liability

122 Limitation of liability of BBIS:

(a) BBIS enters into this Undertaking only in its capacity as trustee of the Babcock & Brown Infrastructure Trust (**BBIT**) and in no other capacity;

(b) a monetary liability arising under or in connection with this Undertaking can be enforced against BBIS only to the extent to which BBIS can be satisfied out of property of BBIT out of which BBIS is actually indemnified for the liability;

(c) the limitation of BBIS's monetary liability referred to in clause 122(b) applies despite any other provision of this Undertaking and extends to all monetary liabilities and obligations of BBIS in its capacity as trustee of BBIT in any way connected with any representation, warranty, conduct, omission, deed or transaction related to this Undertaking;

(d) the parties other than BBIS may not sue BBIS in any capacity other than as trustee of BBIT, including seeking the appointment of a receiver (except in relation to property of BBIT), a liquidator, an administrator or any similar person to BBIS or prove in any liquidation, administration or arrangement of or affecting BBIS (except in relation to property of BBIT); and

(e) the provisions of this clause 122 do not apply to any obligation or liability of BBIS in its capacity as trustee of BBIT to the extent that it is not satisfied because under the BBIT Constitution or by operation of law there is a reduction in the extent of BBIS's indemnification out of the assets of BBIT as a result of fraud, negligence or breach of trust on the part of BBIS.

Signing page

Executed by

EXECUTED by **Babcock & Brown Infrastructure Ltd** in accordance with section 127(1) of the *Corporations Act* 2001 (Cwlth) by authority of its directors

sign here ►
Director

print name Phillip Green

sign here ►
~~Director~~/company secretary*

*delete whichever is not applicable

print name MICHAEL JOHN RYAN

EXECUTED by **Singapore Power International Pte Ltd** in accordance with section 127(1) of the *Corporations Act* 2001 (Cwlth) by authority of its directors

sign here ►
Director

print name Yap Chee Keong

sign here ►
Director/~~company secretary~~*

*delete whichever is not applicable

print name **Lim Howe Run**

EXECUTED by **Babcock & Brown Investor Services Limited** in its capacity as trustee of the Babcock & Brown Infrastructure Trust in accordance with section 127(1) of the *Corporations Act* 2001 (Cwlth) by authority of its directors

sign here ►

Director

print name Phillip Green

sign here ►

~~Director~~/company secretary*

*delete whichever is not applicable

print name MICHAEL JOHN RYAN

ACCEPTED BY THE AUSTRALIAN COMPETITION & CONSUMER COMMISSION

Graeme Julian Samuel
Chairman
Australian Competition and Consumer Commission

Dated: 13th August 2007

Annexure 1

Confidential

Annexure 2

Permissible communications under clause 31

Clause 31 does not prevent:

(1) communications in the context of Alinta Asset Management or Agility discharging its contractual obligations under the existing asset management and maintenance contracts with APT, provided that the communications contain no restrictions that would prevent the communications being subject to possible review by the Commission and the Independent Auditor;

(2) communications between BBI and APT or its responsible entity which specifically concern legal proceedings (in a court or the Takeovers Panel) in which BBI and APT are or may be involved;

(3) communication between BBI and APT or its responsible entity that are necessary for BBI to comply with the requirement to divest assets pursuant to this Undertaking, provided the communications contain no restrictions that would prevent the communications being subject to possible review by the Commission and the Independent Auditor; and

(4) any other conduct approved by the Commission in writing.

Annexure 3

Obligations Concerning Ring Fencing and Disposal of Agility-APT (MSP and Parmelia) Contracts

1 SPI or BBI will take all steps open to it to procure the result that (for so long as Agility remains a service provider pursuant to the Agility-APT (MSP and Parmelia) Contracts) the:

(a) Agility-APT (MSP and Parmelia) Contracts Assets are retained by Agility (unless divested in accordance with this Undertaking) and made available for the provision of services by Agility pursuant to the Agility-APT (MSP and Parmelia) Contracts;

(b) Agility-APT (MSP and Parmelia) Contracts Assets are preserved as viable and available for the provision of services pursuant to the Agility-APT (MSP and Parmelia) Contracts;

(c) management and operation of the Agility-APT (MSP and Parmelia) Contracts and the Agility-APT (MSP and Parmelia) Contracts Assets are conducted separately from the remainder of Agility's business.

2 SPI or BBI will conduct the management and operation of the Agility-APT (MSP and Parmelia) Contracts and the Agility-APT (MSP and Parmelia) Contracts Assets:

(a) separately from the management and staff of the remainder of Agility's operations;

(b) at a location which is separate from the remainder of Agility's operations;

(c) so as to empower those managing the Agility-APT (MSP and Parmelia) Contracts and the Agility-APT (MSP and Parmelia) Contracts Assets to:

- promote the Agility-APT (MSP and Parmelia) Contracts and the Agility-APT (MSP and Parmelia) Contracts Assets;
- acquire and pay for sufficient and timely deliveries of goods and services required by the Agility-APT (MSP and Parmelia) Contracts and the Agility-APT (MSP and Parmelia) Contracts Assets;
- effectively maintain and discharge all of the obligations under the Agility-APT (MSP and Parmelia) Contracts,

(d) by keeping the service records and other day to day records produced or required in discharging the Agility-APT (MSP and Parmelia) Contracts separate from those of the remainder of the Agility operations and those of its related bodies corporate;

(e) by ensuring that no information in relation to the discharge of the Agility-APT (MSP and Parmelia) Contracts is directly or indirectly disclosed by any employee (or contractor) who is part of the Agility-

APT (MSP and Parmelia) Contracts Assets to any other person at Agility (including contractors) who is not part of the Agility-APT (MSP and Parmelia) Contracts Assets, except as required for the effective conduct and discharge of the Agility-APT (MSP and Parmelia) Contracts;

(f) by ensuring that the management of Agility are fully briefed on, and implement fully, the arrangements required under this Annexure; and

(g) by ensuring that those responsible for the discharge of the Agility-APT (MSP and Parmelia) Contracts are provided with sufficient working capital and other requirements so as to ensure that they and the other Agility-APT (MSP and Parmelia) Contracts Assets are capable of effectively discharging the obligations under the Agility-APT (MSP and Parmelia) Contracts at a level equivalent to the level and quality of services provided under the Agility-APT (MSP and Parmelia) Contracts prior to the implementation of the Scheme of Arrangement.

3 SPI or BBI will ensure that any confidential information it obtains that relates to the EGP is not disclosed to any persons who perform functions relating to the management or operation of the MSP, without prior approval of the Commission.

4 SPI or BBI will ensure that any confidential information it obtains that relates to the DBNGP is not disclosed to any persons who perform functions relating to the management or operation of the Parmelia Pipeline, without prior approval of the Commission.

5 The ring fencing obligations described above do not prevent any conduct approved by the Commission in writing.